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In dire distress: Modest reforms won't save the WTO

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Introduction

More and more, WTO members reject multilateral dealmaking and see the prospect of new trade rules — for digital trade or trade and environment, for instance — as possible only in negotiations of like-minded countries.

As the task of reforming the beleaguered World Trade Organization (WTO) grows increasingly urgent, extraordinary remedies to the global multilateral trading system are now on the table that would overturn long-cherished principles.

In the past, it would have been heresy to challenge the "most-favoured-nation" (MFN) principle, where WTO members pledge not to discriminate between trading partners, or the WTO's process of decision-making by consensus. But a rapidly evolving global economy and an unstable geopolitical environment have forced trade officials to view things differently. More and more, WTO members reject multilateral dealmaking and see the prospect of new trade rules — for digital trade or trade and environment, for instance — as possible only in negotiations of like-minded countries. A growing number also believe that decisions on the future of global trade could be taken outside the WTO with new ideas and decisions being incorporated multilaterally at a later stage, or possibly not at all.

The trade chaos unleashed by the Trump administration has no doubt shaken the trading system, but Washington is by no means the only problem facing the WTO. Given the multipolar obstacles to reforming the WTO, many members have concluded the only way forward is to negotiate new rules by circumventing the world's largest economies that have by turns become unreliable partners, economically rapacious, obstructionist on proposed new rules, and dismissive of the old ones.

Many WTO members have concluded the only way forward is to negotiate new rules by circumventing the world's largest economies.

A less stable playing field

What is needed is a push from the highest political levels for a fresh approach even if it brings into question the WTO's most revered principles and its very existence.

The geopolitically fraught landscape today has vaporized any appetite for treading the same time-consuming and ultimately unsuccessful negotiating path to reform. Trying to resuscitate a system with 80-year-old roots through technical fixes and obsolete negotiating methods is a slow boat to nowhere.

What is needed, say veteran trade experts, is a push from the highest political levels for a fresh approach even if it brings into question the WTO's most revered principles and its very existence.

"We need a different political configuration. Either we form a new organization, or we bring whatever is agreed outside the WTO into the organization as a plurilateral," said former New Zealand Minister for Trade and for Climate Change Timothy Groser.

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Spinning the wheels in Geneva

Negotiators in Geneva have been unable even to agree on what reform means, let alone offer a detailed set of serious proposals that could lift the WTO from its quagmire.

Groser's suggestions may come as a shock to some but exasperation with the present situation is changing minds.

Negotiators in Geneva have been unable even to agree on what reform means, let alone offer a detailed set of serious proposals that could lift the WTO from its quagmire. The futility of continuing to seek solutions through old methods has been underscored by the failure of the 166 WTO members to agree on a specific agenda for the 26–29 March Ministerial Conference (MC14) in Yaoundé, Cameroon. Expectations are low of any breakthrough on reform of decision-making, industrial policy, or the use of the national security exception. Accord on the WTO's dispute settlement system and agriculture trade policy is not even in the realm of reality.

One European official said it was not even certain that the MC14 would produce a ministerial declaration, the usual benchmark for a semblance of accord, since that would require the always elusive consensus among members.

Instead, the idea is to use the conference to identify where progress can be made *after* the Ministerial Conference. At the July meeting of General Council, the WTO's highest decision-making body in Geneva, Petter Ølberg, the Norwegian ambassador charged with overseeing the negotiations on WTO reform, stated bluntly: "Our goal is not to solve every issue now. It's to identify where Ministers can add the guidance needed to move forward decisively after MC14." He has presented members with a draft post-Yaoundé reform work plan that focuses on

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subsidies that lead to trade imbalances, reform of the consensus-based system of WTO decision-making, and mending the special rules for developing countries that exempt them from many WTO commitments.[1]

The outlook for Yaoundé is not entirely hopeless. Some negotiators hold out hope that a nearly 30-year moratorium on the application of duties on electronic commerce transmissions will be extended. Developing countries in 2024 had come close to success in wringing a consensus to sunset the moratorium by the end of March 2026. Some progress could also be logged in implementing plurilateral agreements on facilitating investment in developing countries and on broader rules for e-commerce.

Yet, on the delivery of real and urgent reform, expectations are low and those leading the negotiations have wisely decided that the best course is to establish a foundation for future reform negotiations.

Even on the question of transparency, supposedly one of the hallmarks of a rules-based trading system, agreement has proven beyond the grasp of WTO members. Members are obligated to notify others about changes to national trade policies. But, as with much else at the WTO, governments have woefully underperformed, particularly in negotiating new "level playing field" rules pertaining to government support for industry. Without knowing the extent to which governments are favoring domestic companies, such negotiations cannot seriously be undertaken.

At a December General Council, Ølberg reported that "only 50% of Members submitted subsidy notifications in 2021 and 2023 — the lowest rate since the ASCM (Agreement on Subsidies and Countervailing Measures) entered into force in 1995. As of October 2025, only 30% of Members had submitted any subsidy notifications."[2]

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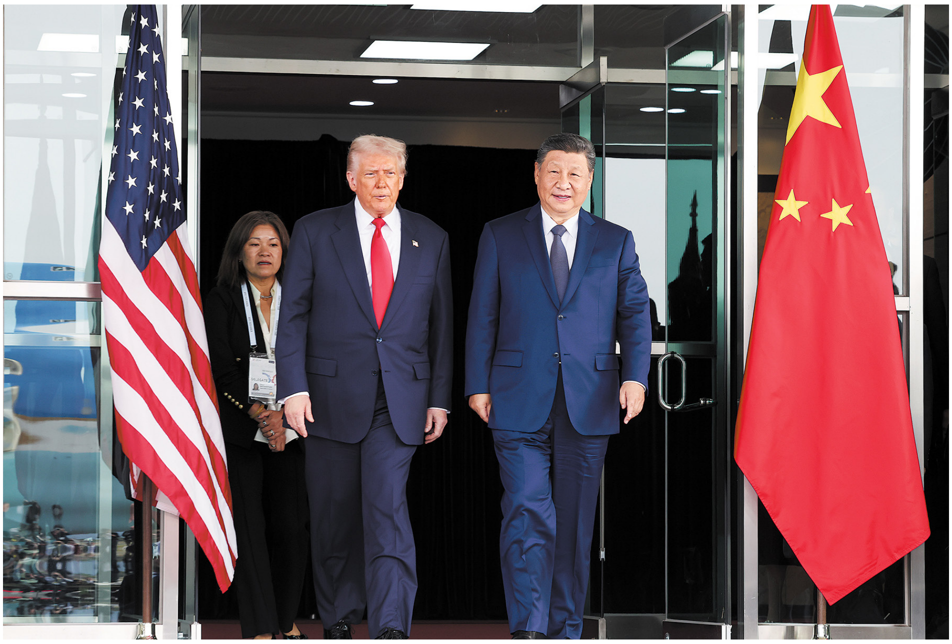
Radical new ideas

Washington believes the MFN principle has been abused by free-riding governments in some countries that have pocketed market access gained in previous negotiations and shown little inclination to open their own markets.

The scramble to find a new path for trade governance takes place against the backdrop of rising geopolitical tensions and economic uncertainty. China's government-backed manufacturing boom has unleashed vast trade and investment imbalances that threaten many domestic industries and jobs in Europe, North America, and many other regions. A wave of economic nationalism in the United States is throwing up the highest US tariffs worldwide since the 1930s. Russia's war against Ukraine is being waged on the European Union's (EU) doorstep. Sweeping technological advances have upended economic growth models and raised concerns about the future viability of today's jobs. Long-established trading relations and the supply chains that underpin them have been uprooted globally.

Against this backdrop, trade officials are pushing the envelope with new ideas that, if agreed, would radically alter the nature of the global trading system. The MFN principle has been the bedrock of the global trading system since its founding in 1947. But today it is under siege in both the United States and the EU. Washington believes this system has been abused by free-riding governments in some countries that have pocketed market access gained in previous negotiations and shown little inclination to open their own markets. Some powerful officials in Brussels are leaning toward Washington's views on the issue.



The scramble to find a new path for trade governance takes place against the backdrop of rising geopolitical tensions and economic uncertainty.

Years of spinning the wheels in Geneva have prompted many trade officials to eye the possibility of negotiating rules outside the WTO and bringing those rules into the organization plurilaterally, if possible, or, if not, creating a separate trade governance body with separate rules.

Likewise, the consensus principle for WTO decision-making is being questioned by some members that believe it has been used as a chokehold by a dissenting minority of large developing economies, notably India, on an organization that desperately needs to update its rulebook.

Many officials openly state that the only hope for advancing new trade rules is to do so in so-called plurilateral negotiations. This has been the trend for nearly a decade, but plurilateral agreements struck in recent years face legal obstacles in the WTO, as a handful of countries, led by India and South Africa, block implementation of accords they did not negotiate and even those that do not apply to them.

The mounting frustration has driven some members to now contemplate simply implementing agreements they have reached regardless of whether those accords have gained the consensus approval required to officially incorporate them into Annex 4 of the Marrakesh Agreement, which established the organization, the provision in the undertaking specifically designed to house plurilateral agreements as part of the WTO's legal architecture.[3]

Years of spinning the wheels in Geneva have also prompted many trade officials to eye the possibility of negotiating rules outside the WTO and bringing those rules into the organization plurilaterally, if possible, or, if not, creating a separate trade governance body with separate rules.

Not everyone is on board with these ideas, and it is not clear how such proposals might be implemented. But patience with the status quo is all but exhausted.

In his acclaimed address to the World Economic Forum in Davos, Canadian Prime Minister Mark Carney laid bare the state of today's multilateralism.

"We are in the midst of a rupture," Carney said. "Not a transition... The multilateral institutions on which middle powers have relied... the very architecture of collective problem solving, are under threat."

"We understand that this rupture calls for more than adaptation. It calls for honesty about the world as it is," Carney said. "We know the old order is not coming back."[4]

Once burned, twice shy

It has dawned on US trading partners that whatever comes next, there should be no expectation of a return to the halcyon pro-globalization days of Bill Clinton, George W. Bush, and Barack Obama.

During the first Trump administration, supporters of multilateralism adopted a wait-it-out strategy, hoping that whoever followed Trump would be more amenable to reason and adopt a cooperative approach on global trade. That did not work out. Many of Trump's nationalistic trade policies were preserved by the Biden administration.

It has dawned on US trading partners that whatever comes next, there should be no expectation of a return to the halcyon pro-globalization days of Bill Clinton, George W. Bush, and Barack Obama. No one can be sure what will come after Trump but other countries, no longer waiting for Washington to come to its senses, are charting a new course.

"The WTO is at a critical and, in fact, an existential juncture. Without a strong political commitment by the Membership to a process of deep and comprehensive reform, the organization will slide into irrelevance, and with that the rules-based global trading system will further erode," the EU argued in a paper on reform submitted to WTO members on 19 January.[5]

Supporters of multilateralism had hoped that whoever becomes president after Trump 1.0 would adopt a cooperative approach on global trade. That did not work out.

How we got here

As the multilateral system's membership grew from 23 in 1947 to today's 166 at the WTO, and as the GATT gave way to the WTO, it was evident that the old framework fit poorly with the realities of the 21st century.

The ongoing dysfunction at the WTO has been spawned by a system of rules that made perfect sense when first drafted in 1947 and which applied to the 23 signatories to the General Agreement on Tariffs and Trade (GATT). Discrimination among trading partners, often aggressively implemented, fostered economic nationalism and fanned the tensions that led to the Second World War. Reluctance on the part of the United States to cede too much sovereignty to an international trade organization led to a fallback to GATT as a de facto multilateral trading system, in which decision-making by consensus evolved as a convenient and practical — at the time — means to make progress on globalization, a US priority. The adoption of decision-making by consensus — the word "consensus" never appears in the General Agreement itself, which provides for decision-making by voting — made sense in an era when the US wanted to generate momentum to get countries globally to join a system it led, in which no new trade rule would be forced upon a member that formally objects to it.

But as the multilateral system's membership grew from 23 in 1947 to today's 166 at the WTO, and as the GATT gave way to the WTO, it was evident that the old framework fit poorly with the realities of the 21st century. The clubby culture of the GATT morphed into a highly politicized organization where national interests were increasingly more important than making multilateral progress on global trade.

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"Many new Members were not acculturated with GATT pragmatism and instead reflected the culture of (a) United Nations General Assembly protest," said Robert Zoellick, US Trade Representative in the George W. Bush administration and former World Bank President.

The rapid emergence of China, once it opened its economy to the world, with its powerful state-run capitalist model, strained a framework of rules that were written by those who never anticipated such a phenomenon. Strongman nationalists like Donald Trump, Russia's Vladimir Putin, China's Xi Jinping, India's Narendra Modi, and Türkiye's Recep Tayyip Erdoğan hold little desire to be constrained by rules.

So the system frayed. The United States shut down the WTO's Appellate Body, the second tier of the dispute settlement system. India, South Africa, Türkiye, and their ilk habitually block adoption of plurilateral agreements and other new attempts at creating new trade rules, including on investment and digital trade, even when these proposed new rules would not apply to them. They view such agreements as a design to blunt their rising power to shape — or veto — the global trade agenda.

As developing countries gained ever more economic power, the imbalance in commitments that developed countries shoulder became untenable. Countries can and do self-designate as developing countries at the WTO, a system that entitles some members to help themselves to claim the right to lower thresholds when implementing WTO rules. In some cases, governments decide on permanent derogation from the rules.

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China announced in September last year that in future negotiations it would not insist on such exceptions. In 2018 and the outset of the first Trump administration's imposition of the first swathe of US tariffs against Chinese imports, average weighted effective Chinese tariffs stood at nearly 7% worldwide, more than twice the comparable US level. As of November 2025, US tariffs on China average 47.5% compared to China's 31.9% against the US. For the rest of the world, US tariffs now average 18.4% versus China's 6.5%, according to data from the Peterson Institute for International Economics.[6] In 2025, China's average weighted tariff rate worldwide is about half of the EU's, according to data from the Economist Intelligence Unit. Brussels and Washington maintain that extending broad market access is no longer acceptable for major economies claiming developing status.

A radical departure

“The MFN principle is not just unsuitable for this era; it prevents countries from optimizing their trade relationships in ways that would benefit each party in that relationship,” said Joseph Barloon, the sitting US ambassador to the WTO.

Writing in the Financial Times on 21 January, EU Trade Commissioner Maroš Šefčovič argued that “if the WTO is to meet today’s challenges, its rules must be fair and deliver balanced legitimate outcomes. Currently, they do neither.”

“Has MFN, as currently applied, genuinely fostered openness and a level playing field among WTO members, or has it become a straitjacket that cements the status quo and enables free riding?” he wrote.

WTO members, he said, must be allowed the flexibility to raise or lower tariffs unilaterally depending on the circumstances they confront, including vast trade imbalances brought on by policies that promote overproduction of products like steel, autos, or solar panels.

“Access to lower tariffs cannot be unconditional: it must be earned through stronger, credible commitments to the core principles of free and fair trade,” he wrote.[7]

Šefčovič’s critique of MFN was a bolt from the blue. But it was not the first repudiation of the principle from a WTO member. Two months earlier, the United States had leveled a searing broadside at MFN during the December meeting of the WTO General Council.

“The MFN principle is not just unsuitable for this era; it prevents countries from optimizing their trade relationships in ways that would benefit each party in that relationship. Put differently, MFN impedes welfare-enhancing liberalization. It pushes Members to engage in one venue — the WTO — and attempt to develop a one-size-fits-all approach,” said Joseph Barloon, the sitting US ambassador to the WTO.

But US proposals to reform the organization are greeted as ex post, superseded in any case by the unilateral and highly aggressive trade policies and tariffs already imposed worldwide by President Trump, which effectively already jettisoned MFN and other multilateral undertakings well before Barloon took office. Some believe any US proposal to reform the organization would be a Trojan Horse designed to “eviscerate the WTO and destroy it from within,” as one former WTO ambassador put it.

Consensus

Obstructive behavior by key members has been a vexing problem in the WTO for decades. Persistent blocking proposals for new trade rules by countries like India and South Africa have led many members to abandon efforts at striking WTO-wide deals, focusing instead on plurilateral negotiations among smaller groups of WTO members.

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After the WTO ministerial conference in 2017, subsets of members agreed to move ahead with talks separately on investment, e-commerce, domestic regulation in services, and facilitating the participation of smaller businesses in global trade. Negotiations advanced in each case and provisional agreements were reached on all those issues. But a consensus is required to incorporate plurilateral agreements into Annex 4. Despite the fact that a plurality of WTO members support these agreements, India and a handful of other members have persistently blocked this consensus.[8]

“Members may have wrung all they can from multilateral negotiations… If there is no path for Members to enter into plurilateral agreements at the WTO, we must acknowledge that the WTO is not a viable forum for negotiating. Trade negotiations will happen, but not at the WTO,” Barloon told the General Council.

Singapore, Switzerland, and several other countries offered a joint proposal in 2024 introducing the concept of “responsible consensus” through which members should exercise “flexibility” and foster “an environment conducive to constructive

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dialogue and cooperation among all WTO Members." In addition to considering their national interests, members should also take into account "the systemic interests of the WTO" while "making compromises in order to reach agreement; and engaging in negotiations based on facts and evidence."[9]

It fell on deaf ears among opponents of reform.

In its reform proposal, the EU bemoaned the "misguided practice of equating consensus with unanimity" and called for the "operationalisation of the concept of responsible consensus" which might include tactics such as "constructive abstention, opt-outs" and the development of tools which would elevate "the political cost of blocking decisions."

Rules on plurilateral agreements must be clarified so that a handful of countries — sometimes even one — cannot deny the will of those seeking to move forward.

In a further proposed deviation from MFN, the EU argues that negotiators should be able to strike deals in which benefits extend only to those that sign up to the accord.[10]

One senior Asian official believes the best hope for true reform is to continue down the path of plurilateral negotiations and implement agreements as they are reached regardless of whether they clear the legal hurdle required in Annex 4.

"That's really all we need to negotiate new rules," the official said.

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Special and differential treatment

The extension of special and differential treatment should be granted on a case-by-case basis, and when possible, time-bound to encourage all members to be able to ultimately comply with the same rules.

Exemptions from the rules for any member that deems itself to be a developing country have long been a point of contention in the WTO. This so-called "special and differential treatment" is one of the central issues on which key members are demanding reform.

"It is also untenable for WTO rules to apply to some Members, and not others, in perpetuity. Such a structure even suggests that a developing country is better off not complying with WTO commitments… Without adequate justification or explanation, it is unreasonable for any Member to expect other Members to accept an obligation that the Member itself will not accept," said Barloon.

Extension of special and differential treatment should be granted on a case-by-case basis "and when possible, time-bound" to encourage "all Members to be able to ultimately comply with the same rules," he said.[11]

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National security

A ruling against a major power might create an awkward situation in which a panel of trade experts rendered any verdict on that country's claim that its national security interests were at stake.

The invocation of national security as justification for exemptions from the rules was rare in the early years of the WTO. Governments understood the quandaries that might arise if such a declaration was made habitual and also when challenged in the dispute settlement system. A ruling against a major power might create an awkward situation in which a panel of trade experts rendered any verdict on that country's claim that its national security interests were at stake. Conversely, too much flexibility in the application of the exemption would create generous loopholes that could be easily exploited.

But a rash of cases emerged a little over a decade ago with the national security exemption at the core. These cases involved different circumstances: food trade issues that arose from Russia's invasion of Ukraine in 2014; an escalating conflict among the Gulf States; and the United States declaration that domestic production of steel and aluminum was a matter of national security. Dispute panels ruled in support of the actions taken by some countries, but many panels deemed the levying of 25% tariffs on steel imports into the United States contrary to WTO rules. Washington's repudiation of these rulings lingers to this day.

Barloon told the General Council that the United States must retain a free hand in determining when and how it can suspend its WTO obligations in the name of national security. Agreement was needed which would lead to "a shared understanding of the essential security exception that prevents second-guessing of a member's critical essential security decisions."[12]

One US official questioned why it was that governments can self-declare as developing countries but that the United States "can't self-declare on a national security question."

Some suggestions have been made on reforming the national security exemption, including a proposal from the United States in 2024 that suggested invocation of the national security exemption should lead to arbitration rather than litigation. But little progress has been made on this proposal, or the broader underlying issue, to date.

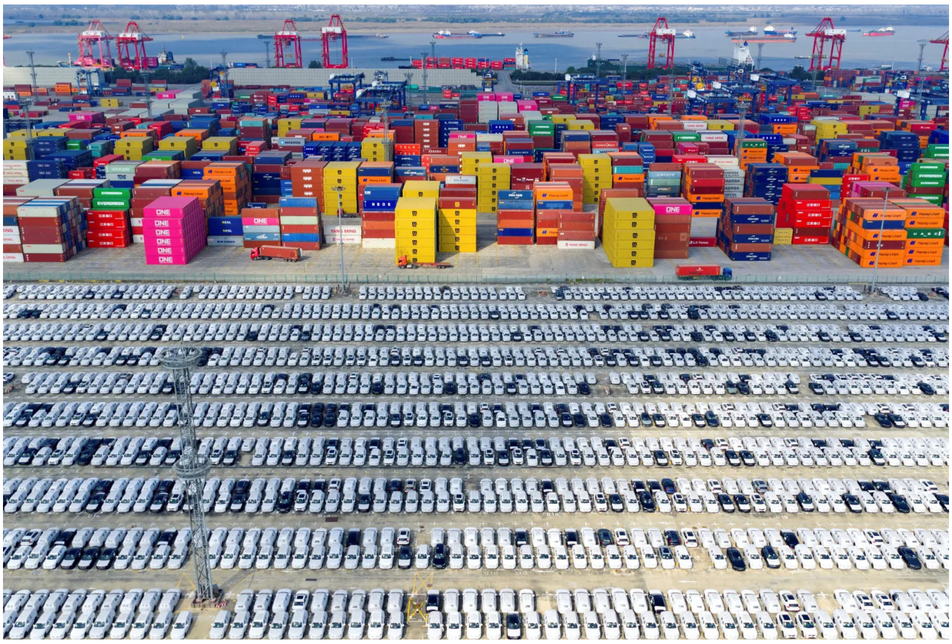
Industrial policy

At the December General Council, the United States said it has serious concerns with the trading system embodied by the WTO, given that the system has overseen and contributed to a world of severe and sustained imbalances.

When WTO members speak of a level playing field, it generally means one thing — industrial policies practiced in major economies, especially China. WTO rules provide disciplines against the use of distorting subsidies, but many believe existing WTO jurisprudence does not address China's brand of state-led capitalism.

Brussels is calling for stronger rules and disciplines to address state support for industry with EU member-states calling out "excessive levels of subsidisation, non-commercial behavior of (state-owned enterprises), including non-transparent support provided through SOEs, unlimited guarantees, and measures that artificially keep struggling firms afloat and cause overcapacity."

The United States believes resolving this issue is vital to the future of the trading system. At the December General Council, the United States said it has "serious concerns with the trading system embodied by the WTO, given that the system has overseen and contributed to a world of severe and sustained imbalances. These imbalances, which are driven in part by overcapacity and concentration of production, have created dangerous dependencies and vulnerabilities for many countries and have undermined many countries' legitimate aspirations to develop or maintain industrial capacity."



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Another route to rules?

One illustration of the challenge facing reformers is the fact that to overturn the status quo on MFN, special and differential treatment, national security, or consensus would require that they first obtain… consensus.

Regardless of the outcome of the conference in Yaoundé, future negotiations on reform promise to be prolonged and arduous. The US and the EU are not proposing reform at the margins. What they have put on the table constitutes root-and-branch reform. Their proposals challenge traditional precepts long considered unassailable. But so broken is the system — its core functions of resolving disputes and negotiating trade rules rendered virtually inoperable — that, for some, starting from scratch is an imperative.

"This gives a chance to start with a blank slate," said one US official.

One illustration of the challenge facing reformers is the fact that to overturn the status quo on MFN, special and differential treatment, national security, or consensus would require that they first obtain… consensus.

And therein lies the rub.

After years of grappling in Geneva over the best path to reform, negotiators remain in limbo and some now suggest shifting the focus. One idea gaining traction is to build on preliminary discussions between the 27-member EU and the 12-member Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP).

In November, trade ministers from the EU and CPTPP met in Australia for their first EU-CPTPP Trade and Investment Dialogue. Ministers agreed to uphold existing trade commitments — including commitments taken at the WTO — and to support the rules-based system. They pledged to work together on WTO reform and stressed their support for plurilateral WTO initiatives, including those on electronic commerce and Investment Facilitation for Development. They also said they would work with all WTO members to achieve "positive outcomes" in Yaoundé.[13]

To date, there have been no real negotiations or the establishment of a more formal framework.

The 39 countries in the two blocs share a similar commitment to trade and multilateralism. The EU already has trade and investment partnership agreements with 10 of the 12 CPTPP members, while harboring the same misgivings about Chinese economic nationalism and Trump. In February, senior trade officials from CPTPP countries met with their EU counterparts in Brussels to further discuss reform and ministers from the two blocs may meet on the sidelines of the Yaoundé meeting.

On 6 February, BusinessEurope, which represents more than 20 million small, medium, and large businesses, and 42 national business federations across 36 European countries called on EU members to "align more with the CPTPP countries, including the option to fully join the bloc, to foster the relationship with like-minded partners."[14]

Weaving together the existing bilateral agreements and negotiating improved rules for digital trade, trade and environment, and government-induced overcapacity would create a new standard for trade, says Timothy Groser, former New Zealand Minister for Trade and for Climate Change.

One business leader said it is past time to find an alternative. “Are we going to stand around and wait for a WTO reform that is not going anywhere?”

In an interview, Groser argued the EU-CPTPP route to trade reform is “the only game in town.” Weaving together the existing bilateral agreements and negotiating improved rules for digital trade, trade and environment, and government-induced overcapacity of production would create a new standard for trade that would set the tenor for world commerce.

At this early stage of the discussions, the United States, China, and India are not envisaged as being part of the exercise. US companies worry about supporting a pact that does not include the United States. But shortly after his election in 2017, President Trump withdrew the United States from the Trans-Pacific Partnership (TPP) — the forerunner of the CPTPP — and the administration has since shown little enthusiasm for multilateral organizations or processes.

Some Asian officials fret that China — which has applied to join the CPTPP — may resent the emergence of an entity to which it is not party. But one Asian official dismissed such concerns: “China will not be worried as long as the grouping is not seen as targeting China, and it will not be.”

Groser says the idea would be to save a seat for the United States to join when the time was right. If Washington still says no, then the 39 members could either “form a new organization or bring their agreements into the WTO as a plurilateral.” The idea would be to have the grouping open to new members which fit the criteria, said Groser, who has worked on developing this idea in the so-called 1.5 Group of officials from governments and research institutes. The group, which includes former Spanish Foreign Minister and former executive director of the

Some have argued that the EU-CPTPP route to trade reform is “the only game in town.” But others, including former WTO Director-General Pascal Lamy, remain skeptical.

WTO reform efforts need to focus on further facilitating trade, strengthening rules on "precaution" which allow members leeway in setting environmental, health, and safety standards, says Pascal Lamy, former WTO Director-General.

International Trade Centre Arancha González Laya, is not officially charged by governments with developing policy but works as a policy sounding board.

Groser believes that whatever framework is agreed should take into account the possibility that the United States may one day — perhaps in the not-too-distant future — come in from the cold.

"It would be a massive political error to say that the United States is lost forever. What they need is a political scenario to bring them back," he said. "A purely transactional approach to trade policy has not been in the best long-term interests of the United States, and it may wish to explore participating in an updated rules-based framework that has been developed by essentially all of its allies, friends and partners," he said.

Others are not so sure. Former WTO Director-General Pascal Lamy says that the United States has been distancing itself from trade agreements — including the WTO — since 2008. "We will have to live without them for the moment. How long will this last? I do not know. Is there anything left of global cooperation? There is a doubt about that," he said in an interview.

Lamy is skeptical that the future lies in the EU-CPTPP framework.

He points out that the CPTPP outline was originally drafted largely by the Obama administration during negotiations for the TPP. On issues like the environment, trade in services, and digital trade, the US-centric nature of the provisions may prove difficult for Europeans to swallow. The agreement is also a decade-old and in the throes of a badly needed update to its own rules.

Moreover, he says the EU-CPTPP construct holds no place for Africa, which is projected to be the fastest-growing region of the world economy in the decades to come. Rather, he says, WTO reform efforts need to focus on further facilitating trade, strengthening rules on "precaution" which allow members leeway in setting environmental, health, and safety standards.

Lastly, he says, rules must be developed to rein in massive overcapacity and the trade imbalances they generate. He acknowledges that such imbalances are 80% about structural macroeconomic factors and only 20% related to trade. So, greater cooperation between the WTO and the International Monetary Fund is needed to make any trade reform effective.

Today, the United States constitutes only about 13% of world imports, so a WTO without the United States could survive, he said. "But we cannot live a long time with Chinese state-run capitalism. As long as China does not re-balance its economy and move away from heavily subsidizing its industry, the long-term relationship (with Europe)" will remain troubled, he said.

Lamy favors a focused reform effort within the WTO. Among his suggestions would be a stronger role for the WTO Secretariat, including giving the Secretariat the right to initiate proposals — an idea the US summarily rejects. He also believes that the role of the Director-General in resolving disputes should be bolstered to facilitate more mediation in dispute settlement.

Failure of WTO members to create a platform of “variable geometry” may give impetus to an EU-CPTPP type of arrangement that would set the tone for global rule-making on trade, says Robert Zoellick, US Trade Representative in the George W. Bush administration and former World Bank President.

Zoellick has been a big believer in multiple rule-making tracks for decades. During the 1986–1994 Uruguay Round of multilateral trade liberalization under GATT, Zoellick sought to extract greater leverage from trading partners by simultaneously negotiating multilateral, regional, and bilateral agreements.

“We were developing what international political scientists would later describe as a ‘regime complex,’ which permits greater flexibility and adaptability within a networked (as opposed to unitary, hierarchical) system. This approach challenged MFN, but by offering a route with higher standards. The TPP/CPTPP eventually emerged from this approach,” he said in an interview.

He had hoped that the Uruguay Round would lead to the possibility of some nations pressing for and obtaining more ambitious results in a multilateral framework. But that did not happen. Failure of WTO members to create a platform of “variable geometry” may give impetus to an EU-CPTPP type of arrangement that would set the tone for global rule-making on trade, he said.

“If the CPTPP and EU ever agree to significant terms, they might be able to recreate a new system of rules that might draw others. In effect, trade negotiations would shift from the top-down WTO model to one of ‘building blocks.’ As of today, such a deal probably offers the best opportunity to revive trade promotion and maybe liberalization,” Zoellick said.

This would not mean that the WTO would be abolished, Zoellick said, but its role would be diminished. The WTO could “support the negotiations as an observer that would share experience and information on wider effects. Given that the CPTPP members and EU are sympathetic to the WTO, they might agree.”

European officials disagree on a more muscular EU-CPTPP arrangement. It’s unclear whether the bloc has the capacity to undertake such a huge challenge at this juncture.

While some Europeans wring their hands over the precise architecture of an enhanced EU-CPTPP arrangement, other officials say the details of its structure can come after deeper discussions on substance have been held.

The WTO could, in the future, provide an enhanced EU-CPTPP with information on trade barriers. "Perhaps at some point, the WTO can serve as a baseline of rules, norms, and negotiating mechanisms. The wheel turns. It makes sense for the WTO to try to adapt so it can help meet needs for trade and cooperation when countries are ready to pursue them," he said.

While such an approach may fit with the EU idea of variable geometry and a more flexible framework of rules, some European officials have clear misgivings about a more muscular EU-CPTPP arrangement. What would be the structure of such a grouping and what responsibilities would it shoulder? Would it be principally a rule-making body in important areas like digital trade, and trade and the environment? Would it also involve tariff commitments among members?

While some Europeans wring their hands over the precise architecture, other officials say the details on structure can come after deeper discussions on substance have been held.

"The EU is not going to sign up for membership in the CPTPP. The way to go about it is to find an innovative way to cooperate between the EU and the CPTPP," said one senior Asian official.

The fact that the world's two largest economies, the United States and China, would not be part of the partnership would also present challenges. How, for example, would the grouping address the question of industrial subsidies and state-owned enterprises if China and the US were not at the table?

One senior European official sees the attraction of such an arrangement but questions whether the EU has the capacity to undertake such a huge challenge at this juncture.

"Most of our bandwidth has been used for the management of the relationship with the United States and, to a lesser extent, China. It's not a crazy idea. I'm just not sure how much capital we should invest in this," the official said. How the EU eventually engages in such a body would depend on how Brussels manages its relationships with Beijing and Washington, the official said.

Conclusion

To bring about changes to the WTO of the sort being discussed now — to MFN, consensus, and development — is a tall order, but what seems different this time is that constructive members are prepared to look beyond the confines of standard negotiating positions and even of the WTO itself to achieve their objectives.

Clearly, standing still is not an option. Something new is needed because what worked in the past does not work today.

As German Chancellor Friedrich Merz told the Munich Security Conference on 13 February, "This order, however imperfect it was even at its best, no longer exists in that form."[15]

Counting on America, even after Trump, to prop up the global trading system as it had done for eight decades no longer seems viable. The messages on trade coming from US politicians are muddled at best.

In three separate votes in the Senate last autumn, a majority voted to strike down tariffs against Brazil, Mexico, and Canada, and against the tariffs unveiled on "Liberation Day." On 12 February, the House of Representatives voted to terminate tariffs on Canada that Trump argued were necessary for national security purposes. The action infuriated the President who is likely to veto the bill.[16]

If so many prominent Democrats now speak critically about the application of tariffs, perhaps it is because they have seen the handwriting on the wall. According to polls from the Pew Research Center, 60% of Americans disapprove of Trump's tariff policies[17] and 52% say Trump's overall economic policies have made the US economy worse.[18]

But if many in Congress and elsewhere in US political circles do not like tariffs, it is by no means clear that they support trade. There are few pro-trade voices heard in America today from either party.

This could change, particularly as the damage from Trump's trade policies becomes plainer over time. But few prominent people count on it. Burned once before, they want to avoid being burned again.

To bring about changes to the WTO of the sort being discussed now — to MFN, consensus, and development — is a tall order. What seems different this time is that constructive members are prepared to look beyond the confines of standard negotiating positions and even of the WTO itself to achieve their objectives.

This has not escaped the notice of WTO officials. Ølberg, the Norwegian steering the reform talks, acknowledges that the growing frustration could push a subset of members to seek alternative avenues for reform.

"Simply circling back to the status quo will not convince anyone that this process is capable of delivering the reforms that Members themselves have called for. Such an approach will only validate the scepticism that already exists — the view held by some that we are not able, or not willing, to undertake the deep or necessary reforms."[19]

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Keith M. Rockwell is a Senior Research Fellow at the Hinrich Foundation. Prior to his retirement in June 2022, Keith served as a Director at the World Trade Organization (WTO) and spokesperson for the organization for more than 25 years. He also is Global Fellow at the Wilson Center.

In his former role as Director of the WTO's Media and External Relations Division, Keith worked closely with the Director General and his office to reflect the objectives and activities of the WTO. He was responsible for the overall coordination of the WTO's interaction with media, civil society, parliamentarians, and the United Nations. He appeared regularly before media at press conferences, briefings, and television and radio appearances.

Keith received his Masters in Business Administration in International Business from George Washington University in 1991 and his Bachelor's Degree in History and Political Science from Tufts University in 1980. In 1990, he authored *1992 AND BEYOND: How to Prosper in the World's Biggest Market*, which was published by Knight-Ridder Inc.

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